

Again, when you are young you should take a “long” position in mortality risk. This means that you should be buying or acquiring insurance investments that pay off if and when your mortality rate jumps up unexpectedly. And when you are old, you should reverse the hedge and take a “short” position in mortality. If there is a downward shock and your mortality rate declines, and you, therefore, live longer, you face the risk that your nest egg will not suffice or provide enough income to last for the rest of your life. Note that going short mortality in your old age is the equivalent of buying or purchasing some sort of longevity insurance, which is a topic I return to in Chapter 9.

You need a longevity risk management strategy. You need to develop a plan for the possibility of 30 to 40 years of retirement. As you can see from Table 7.7, more than 73,000 Americans above the age of 100 are alive today. Are you one of them? Will you be one of them?

TABLE 7.7 Longevity Nation

Number of Americans...	
> Age 90	2,000,000
> Age 100	73,000

Source: U.S. Fed News (5 September 2007) based on Census.

Summary

- You chase your life expectancy as you age. The average life expectancy numbers of 77 for males and 80 for females you might see in the newspapers apply at birth only. Healthier, wealthier, and more educated individuals tend to have lower mortality rates and better longevity.
- When you reach your retirement years, in good health and wealth, there is a high probability you will reach the advanced 90s. There is a nontrivial chance you will reach triple digits, and the odds are better for females.
- Our inability to precisely know how long we are going to live and spend in retirement falls under the label of “longevity risk.” As the evidence I presented in Chapter 1, “You, Inc.,”